



Chapter 2

Understanding Management's Context: Constraints and Challenges



LEARNING OUTLINE

Follow this Learning Outline as you read and study this chapter.

- **Contrast** the actions of managers according to the omnipotent and symbolic views
- **Describe** the constraints and challenges facing managers in today's external environment.
- **Discuss** the characteristics and importance of organizational culture.
- current issues in organizational culture.

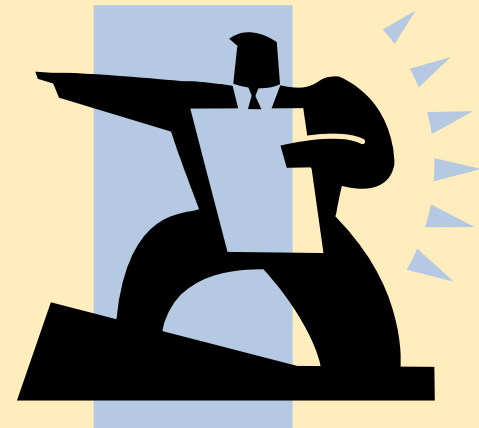


The Manager: Omnipotent or Symbolic?

- **omnipotent view of management**- the view that managers are directly responsible for an organization's success or failure.
- **symbolic view of management** - the view that much of an organization's success or failure is due to external forces outside managers' control.

The Manager: How Much Control?

- The Omnipotent View
 - The quality of the organization is determined by the quality of its managers
 - Managers are held most accountable for an organization's performance, yet it is difficult to attribute good or poor performance directly to their influence on the organization



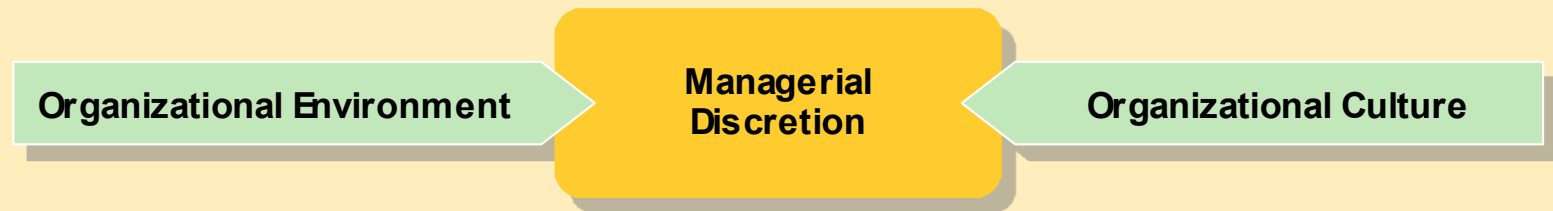
The Manager: How Much Control? (cont'd)

- Symbolic View

- The ability of managers to affect outcomes is influenced and constrained by external factors:
 - The economy, customers, governmental policies, competitors, industry conditions, technology, and the actions of previous managers
- Managers symbolize control and influence through their action



Exhibit 2.1 Constraints of Managerial Discretion





Defining the External Environment

- External Environment
 - The forces and institutions outside the organization that potentially can affect the organization's performance
- Components of the External Environment
 - **Specific environment:** external forces that have a direct and immediate impact on the organization
 - **General environment:** broad economic, socio-cultural, political/legal, demographic, technological, and global conditions that *may* affect the organization

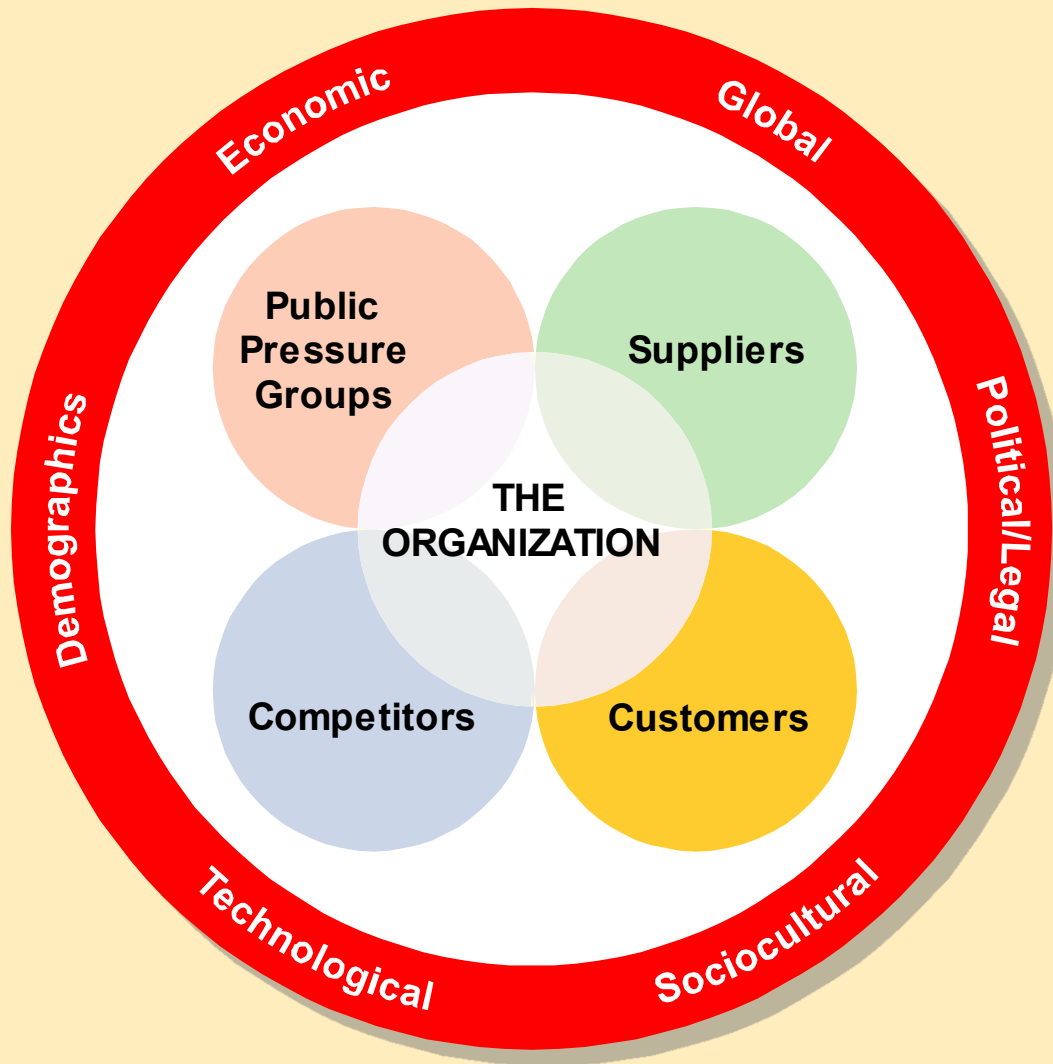


Exhibit 2.2

The External Environment



The General Environment

- Economic conditions
 - Include interest rates, inflation rates, changes in disposable income, stock market fluctuations, and the general business cycle, among other things
- Political/legal conditions
 - Include the general political stability of countries in which an organization does business and the specific attitudes that elected officials have toward business
 - Federal and provincial governments can influence what organizations can and cannot do. Some examples of legislation include:
 - Canadian Human Rights Act
 - Canada's Employment Equity Act
 - Competition Act
 - Marketing boards



The General Environment (cont'd)

- Socio-cultural conditions
 - Include the changing expectations of society
- Demographic conditions
 - Include physical characteristics of a population (gender, age, level of education, geographic location, income and family composition)
- Technological conditions
 - Include the changes that are occurring in technology
- Global conditions
 - Include global competitors and global consumer markets



How the Environment Affects Managers

- Environmental Uncertainty
 - The extent to which managers have knowledge of and are able to predict change. Their organization's external environment is affected by:
 - **Complexity of the environment:** the number of components in an organization's external environment
 - **Degree of change in environmental components:** how dynamic or stable the external environment is

Exhibit 2.3 Environmental Uncertainty Matrix

		Degree of Change	
		Stable	Dynamic
Degree of Complexity	Simple	Cell 1 Stable and predictable environment Few components in environment Components are somewhat similar and remain basically the same Minimal need for sophisticated knowledge of components	Cell 2 Dynamic and unpredictable environment Few components in environment Components are somewhat similar but are in continual process of change Minimal need for sophisticated knowledge of components
	Complex	Cell 3 Stable and predictable environment Many components in environment Components are not similar to one another and remain basically the same High need for sophisticated knowledge of components	Cell 4 Dynamic and unpredictable environment Many components in environment Components are not similar to one another and are in continual process of change High need for sophisticated knowledge of components



Stakeholder Relationships

- Stakeholders
 - Any constituencies in the organization's external environment that are affected by the organization's decisions and actions
- Why Manage Stakeholder Relationships?
 - Can lead to improved organizational performance
 - It's the “right” thing to do given the interdependence of the organization and its external stakeholders



Managing Stakeholder Relationships

- Identify the organization's external stakeholders
- Determine the particular interests and concerns of the external stakeholders
- Decide how critical each external stakeholder is to the organization
- Determine how to manage each individual external stakeholder relationship

Exhibit 2.4 Organizational Stakeholders



The Organization's Culture

- What Is Organizational Culture?
 - A system of shared meanings and common beliefs held by organizational members that determine, to a large degree, how they act toward each other
 - “The way we do things around here”
 - Values, symbols, rituals, myths, and practices
 - Implications:
 - *Culture* is a perception
 - *Culture* is shared
 - *Culture* is a descriptive term



Exhibit 2.5 Dimensions of Organizational Culture





Exhibit 2.6 Contrasting Organizational Cultures

Organization A

- Managers must fully document all decisions
- Creative decisions, change, and risks are not encouraged.
- Extensive rules and regulations exist for all employees.
- Productivity is valued over employee morale.
- Employees are encouraged to stay within their own department.
- Individual effort is encouraged.

Organization B

- Management encourages and rewards risk-taking and change.
- Employees are encouraged to “run with” ideas, and failures are treated as “learning experiences.”
- Employees have few rules and regulations to follow.
- Productivity is balanced with treating its people right.
- Team members are encouraged to interact with people at all levels and functions.
- Many rewards are team based.



Strong Vs. Weak Cultures

- Strong Cultures
 - Key values are deeply held and widely held
 - Have strong influence on organizational members
- Factors Influencing the Strength of Culture
 - Size of the organization
 - Age of the organization
 - Rate of employee turnover
 - Strength of the original culture
 - Clarity of cultural values and beliefs

Benefits of a Strong Culture

- Creates a stronger employee commitment to the organization
- Aids in the recruitment and socialization of new employees
- Fosters higher organizational performance by instilling and promoting employee initiative





Subcultures

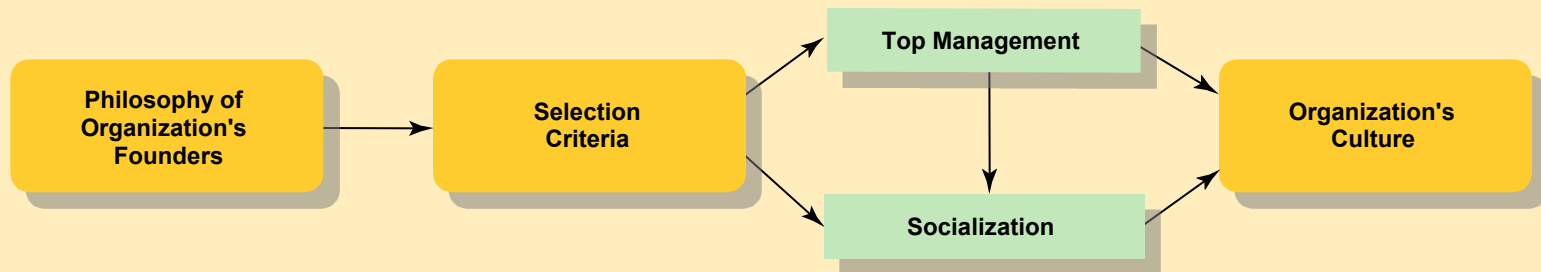
- Organizations have dominant cultures and subcultures
- Subcultures are likely to be defined by department designations and geographical separation
- Subcultures include the core values of the dominant culture, plus additional values unique to members of the subculture



Organizational Culture

- Sources of Organizational Culture
 - Past practices of the organization
 - The organization's founder
- Continuation of the Organizational Culture
 - Recruitment of employees who “fit”
 - Behaviour of top management
 - Socialization of new employees to help them adapt to the culture

Exhibit 2.8 Establishing and Maintaining Culture





How Employees Learn Culture

- Stories
 - Narratives of significant events or actions of people that convey the spirit of the organization
- Rituals
 - Repetitive sequences of activities that express and reinforce the values of the organization
- Material Symbols
 - Physical assets distinguishing the organization
- Language
 - Acronyms and jargon of terms, phrases, and word meanings specific to an organization



How Culture Affects Managers

- Cultural Constraints on Managers
 - Whatever managerial actions the organization recognizes as proper or improper on its behalf
 - Whatever organizational activities the organization values and encourages
 - The overall strength or weakness of the organizational culture

Simple rule for getting ahead in an organization:

Find out what the organization rewards and do those things



Exhibit 2.9 Managerial Decisions Affected by Culture

Planning

- The degree of risk that plans should contain
- Whether plans should be developed by individuals or teams
- The degree of environmental scanning in which management will engage

Organizing

- How much autonomy should be designed into employees' jobs
- Whether tasks should be done by individuals or in teams
- The degree to which department managers interact with each other

Leading

- The degree to which managers are concerned with increasing employee job satisfaction
- What leadership styles are appropriate
- Whether all disagreements—even constructive ones—should be eliminated

Controlling

- Whether to impose external controls or to allow employees to control their own actions
- What criteria should be emphasized in employee performance evaluations
- What repercussions will occur from exceeding one's budget



Current Organizational Culture Issues Facing Managers

- Creating an Ethical Culture
 - High in risk tolerance
 - Low to moderate aggressiveness
 - Focus on means as well as outcomes
- Creating an Innovative Culture
 - Challenge and involvement
 - Freedom
 - Trust and openness
 - Idea time
 - Playfulness/humour
 - Conflict resolution
 - Debates
 - Risk-taking



Tips for Managers: Creating a More Ethical Culture

- Be a *visible role model*.
- Communicate *ethical expectations*.
- Provide *ethics training*.
- Visibly *reward ethical acts and punish unethical ones*.
- Provide *protective mechanisms* so employees can discuss ethical dilemmas and report unethical behaviour without fear.



Current Organizational Culture Issues (cont'd)

- Creating a Customer-Responsive Culture
 - Hire the right type of employees
 - Have few rigid rules, procedures, and regulations
 - Use widespread empowerment of employees
 - Encourage good listening skills
 - Provide role clarity to employees
 - Have conscientious, caring employees